

September 25, 2026

Shriram Finance Limited: Ratings reaffirmed for PTCs backed by vehicle, equipment and tractor loan securitisation transaction

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Amount O/s after last surveillance (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial Sector Regulator#
Sansar June 2025 IV Trust	PTC Series A1	1,075.98	1,075.98	686.81	[ICRA]AA+(SO); Reaffirmed	RBI
	PTC Series A2	56.63	56.63	56.63	[ICRA]A-(SO); Reaffirmed	RBI

*Instrument details are provided in Annexure I

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The pass-through certificates (PTCs) are backed by commercial vehicle (CV), tractor and construction equipment (CE) loan receivables originated by Shriram Finance Limited {SFL; rated [ICRA]AAA (Stable)⁵}. SFL would be the servicer for the transaction.

The rating reaffirmation factors in the build-up of the credit enhancement cover over the future PTC payouts on account of moderate amortisation and healthy pool performance. The ratings also draw comfort from the fact that the breakeven collection efficiency is comfortably lower compared to the actual collection level observed in the pool till the August 2026 payout month.

Pool performance summary

Parameter	Sansar June 2025 IV Trust
Payout month	August 2026
Months post securitisation	13
Pool amortisation	39.4%
PTC amortisation	41.4%
Cumulative collection efficiency ¹	99.8%
Cumulative prepayment rate	2.9%
Average monthly prepayment rate	0.3%
Loss-cum-90+ days past due (dpd ² ; % of initial pool)	0.4%
Loss-cum-180+ dpd ³ (% of initial pool)	0.0%
Cumulative cash collateral (CC) utilisation	0.0%
Breakeven collection efficiency ⁴ for PTC Series A1	77.4%
CC (% of balance pool)	8.3%
Excess interest spread (EIS; % of balance pool) for PTC A1 ⁵	9.8%

¹ Cumulative collections till date (including advance collections and Overdue)/(Cumulative billings till date + Opening overdue)

² Inclusive of Unbilled and overdue principal portion of contracts delinquent for more than 90 days, as a % of Initial pool principal

³ Inclusive of Unbilled and overdue principal portion of contracts delinquent for more than 180 days, as a % of Initial pool principal

⁴ (Balance cash flows payable to investor – CC available)/Balance pool cash flows

⁵ The current rating rationale of the originator, available at this [link](#), provides its detailed rating history and rating transitions.

⁵ (Pool cash flows – Cash flows to PTC)/Pool principal outstanding

Transaction structure

The transaction has a two-tranche structure, wherein PTC Series A1 will be equivalent to 95% of the initial pool principal and PTC Series A2, equivalent to 5% of the initial pool principal, which will be subordinated to the PTC Series A1. As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout to PTC Series A1. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) firstly to PTC Series A1 and then to PTC Series A2 (post PTC Series A1 is fully paid off).

Any surplus EIS, after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of PTC Series A1 principal (and to PTC Series A2 post PTC Series A1 is fully paid off). The CC, if utilised in any month, will not be replenished from EIS in subsequent months.

Key rating drivers and their description

Credit strengths

Build-up of credit enhancement available in the structure – The rating factors in the build-up in the credit enhancement with CC increasing to ~8% of the balance pool principal compared to 5% during the initial rating. Internal credit support is also available through EIS for the transaction.

Healthy pool performance – Delinquencies in the harder bucket with the loss-cum-90+ days past due (dpd; as percentage of initial pool principal) have remained low at ~1.0%. The loss-cum 180+ dpd is nil. The performance of the pool has been healthy with cumulative collection efficiency (including advances) of ~100% till August 2026 payout month while the breakeven collection efficiency remains comfortably below the monthly collection efficiency.

Adequate servicing capability of SFL - SFL, which is also servicing the loans in the transaction, has a well-established track record in the commercial vehicle financing business of more than four decades and has adequate underwriting policies and collection procedures across a wide geography. It also has satisfactory processes for servicing the loan accounts in the securitised pool.

Credit challenges

Risks associated with lending business – The pools' performance would remain exposed to macroeconomic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for the surveillance of asset-backed securitisation (ABS) transactions involves the simulation of potential delinquencies, losses (shortfall in principal collection during the balance tenor of the pool) and prepayments in the pool. The assumptions for the loss and coefficient of variation (CoV) are arrived at after considering the past performance of the Originator's portfolio and rated pools as well as the performance and characteristics of the specific pool being evaluated. Additionally, the assumptions may be adjusted to factor in the current operating environment and any industry-specific factors that ICRA believes could impact the performance of the underlying pool of contracts.

For the current pool, ICRA has estimated the shortfall in the pool principal collection at 2.25% at the end of its tenure with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 4.8% to 18% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction name	Sansar June 2025 IV Trust
Originator	Shriram Finance Limited
Servicer	Shriram Finance Limited
Trustee	Catalyst Trusteeship Limited
CC holding Bank	The Hongkong and Shanghai Banking Corporation Limited
Collection and payout account Bank	The Hongkong and Shanghai Banking Corporation Limited

Liquidity position

Strong: For PTC Series A1 and PTC Series A2

The liquidity for the instruments is strong after factoring in the credit enhancement available to meet the promised payout to the investor. The total credit enhancement is 5.75 times for PTC Series A1 and 3.5 times the estimated loss for the pool for PTC Series A2 respectively.

Rating sensitivities

Positive factors – The rating can be upgraded on the sustained strong collection performance of the underlying pool of contracts, resulting in an increase in the credit enhancement cover available.

Negative factors – Pressure on the ratings could emerge on sustained weak collections, resulting in higher-than-expected delinquency levels. Weakening in the credit profile of the servicer (SFL) could also exert pressure on the ratings.

Analytical approach

The rating action is based on the performance of the pool till July 2026 (collection month), the present delinquency levels and the credit enhancement available in the pool, and the performance expected over the balance tenure of the pool.

Analytical approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

Shriram Finance Limited [SFL; erstwhile Shriram Transport Finance Company Limited (STFC)], incorporated in 1979, is a part of the Shriram Group of companies and an upper layer non-banking financial company (NBFC). Based on the National Company Law Tribunal (NCLT) order dated November 14, 2022, the operations of Shriram City Union Finance Limited (SCUF) and Shriram Capital Limited were merged with STFC, which was rechristened Shriram Finance Limited on November 30, 2022. SFL enjoys a leadership position in preowned commercial vehicle finance and has a pan-India presence with more than 3,700 branches and other offices. As on June 30, 2026, SFL had a standalone AUM of Rs. 3.14 lakh crore comprising commercial vehicle finance (47%), passenger vehicle finance (22%), loans to micro, small and medium-sized enterprises (MSMEs; 13%), construction equipment and farm equipment finance (6%), two-wheeler loans (6%), personal loans (4%) and gold loans (2%).

Key financial indicators

Shriram Finance Limited (standalone)	FY2025	FY2026	Q1FY2027*
Total income	41,859	48,178	13,412
Profit after tax	7,190	9,998	3,445
Total managed assets	3,10,141	3,40,976	3,67,537
Gross stage 3 assets	4.6%	4.6%	4.6%
Capital-to-risk weighted assets ratio	20.7%	20.4%	34.2%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. Crore; *Limited review

Total managed assets = Total assets + Impairment allowance + Direct assignment – Goodwill

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Instrument	Current Rating (FY2027)		Chronology of Rating History for the Past 3 Years				
		Initial amount rated (Rs. crore)	Current amount rated (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026		Date & rating in FY2025	Date & rating in FY2024
				Sep 25, 2026	Sep 29, 2025	Jun 30, 2025	-	-
Sansar June 2025 IV Trust	PTC Series A1	1,075.98	686.81	[ICRA]AA+(SO)	[ICRA]AA+(SO)	Provisional [ICRA]AA+(SO)		
	PTC Series A2	56.63	56.63	[ICRA]A-(SO)	[ICRA]A-(SO)	Provisional [ICRA]A-(SO)	-	-

Complexity level of the rated instrument

Trust name	Instrument*	Rating action
Sansar June 2025 IV Trust	PTC Series A1	Highly Complex
	PTC Series A2	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

ISIN	Trust name	Instrument type	Date of issuance/sanction	Coupon rate (p.a.p.m.)	Maturity date	Current rated amount (Rs. crore)	Current rating	Financial Sector Regulator [#]
NA	Sansar June 2025 IV Trust	PTC Series A1	June 30, 2025	7.15%	July 24, 2030	686.81	[ICRA]AA+(SO)	RBI
		PTC Series A2		Residual		56.63	[ICRA]A-(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

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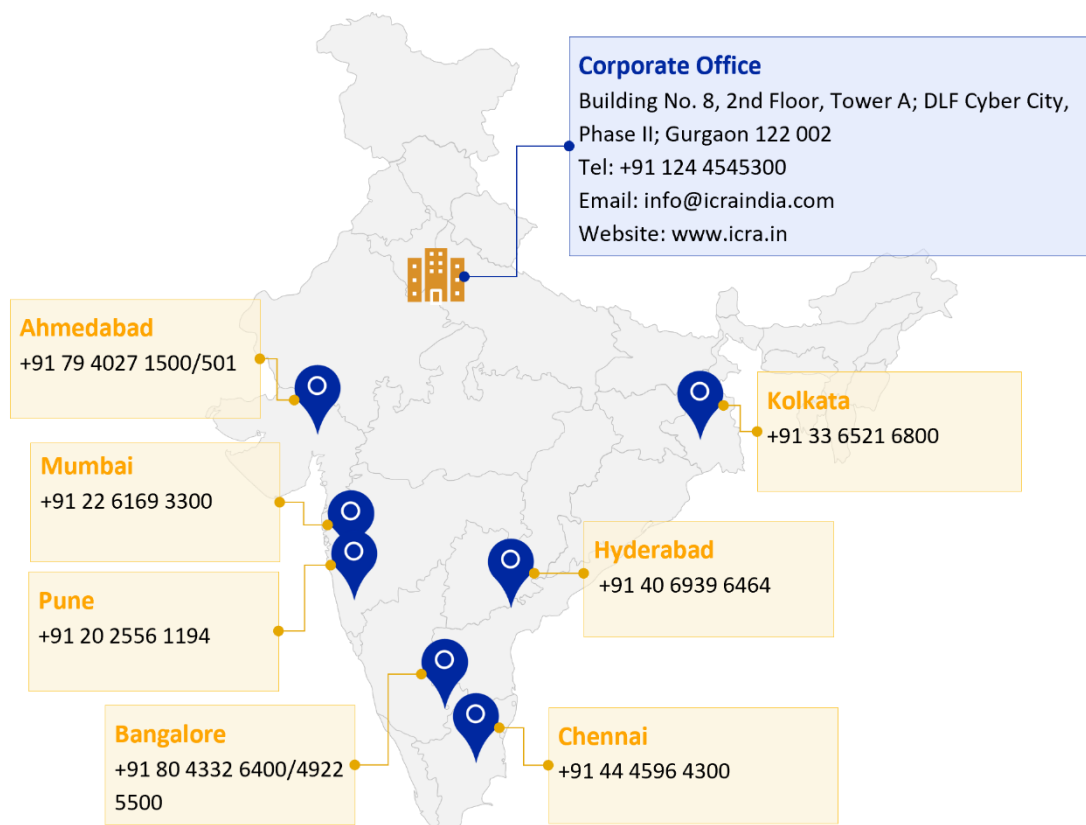


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